One of the first to take advantage of the emerging city were the Parsis, descendants of Zoroastrian refugees from Iran who had settled along the Gujarat coast. They first moved to Bombay to work for the British as shipbuilders but, by the 1830s, became very wealthy by engaging in the opium trade with China. Nonetheless, in the mid-nineteenth century, the city was still much smaller than Calcutta or Madras. Two factors dramatically changed its fortunes in the 1860s—the American Civil War and the opening of the Suez Canal. When the blockade by the American North of the ports of the American South suddenly deprived the mills of Lancashire of raw cotton, they switched to the cotton fields of western India. The newly built railway network transported cotton directly from the fields to Bombay port. New cotton mills began to be built in Bombay itself. The opium trade with China also boomed at the same time, with 37,000 chests being shipped out every year.

With all this new money, both the government and the wealthy merchants of the city embarked on an orgy of new construction—the more extravagant the better. There was a speculative boom in cotton, land and in ambitious ventures like the Back Bay Reclamation Company. Trading was furious at the informal stock-market that had appeared under a tree in front of the Town Hall (according to legend, it was a banyan tree in what is now Horniman Circle). Migrants moved in by the tens of thousands and congested slums proliferated. A contemporary would comment, ‘To ride home to Malabar Hill along the sands of Back Bay was to encounter sights and odours too horrible to describe … To travel by rail from Bori Bunder to Byculla, or to go to Mody Bay, was to see in the foreshore the latrine of the whole population of Native Town.’ [17] The locations of the slums have changed over the last one-and-a-half centuries, but anyone who has travelled in Mumbai’s suburban trains will know what the above comment means.

In 1865, the American Civil War ended and the prices of shares and cotton crashed in Bombay. By 1866, several of the city’s banks and real estate companies had failed, and many previously wealthy individuals were left bankrupt. The city was strewn with half-built projects that were no